

Market Report of Tunisia**ECN 164****Prof. Simonovska****March 19, 2025**

Abstract

Tunisia's market condition is dynamic and evolving, shaped by its strategic location, diverse economy, and ongoing economic reforms. Analyzing through its market openness and current market conditions, we can see high levels of potential investment opportunities. However, with the financial sector being the most prominent in the country along with the top firms being state-owned, there is no doubt Tunisia's inefficiency practices are high. However, with recent development, the country has a bright future and great potential to attract investors to diversify their portfolios, which we will look by comparing the trade differential between the USD and the Tunisian Dinar.

Introduction

Tunisia, situated at the intersection of Europe, the Middle East, and Africa, is a developing market with enormous development and investment possibilities. Tunisia has been actively establishing itself as a competitive hub in North Africa thanks to its solid industrial base, booming service sector, and growing tech environment. International trade agreements and economic reforms during the last ten years have made it easier for foreigners to invest, especially in important sectors like manufacturing, tourism, agribusiness, and renewable energy. Notwithstanding its economic advancements, Tunisia still must deal with structural issues such as currency swings, regulatory complexity, and unemployment. Political uncertainty especially after the Arab Spring and regulatory complexities have also posed barriers to business expansion, though ongoing policy reforms seek to address these concerns. (Ayadi, et.al) Additionally, global economic shifts, such as supply chain disruptions and fluctuating energy prices, continue to shape Tunisia's trade and investment outlook.

Market openness

A critical component of Tunisia's economic growth and attractiveness to investors is its level of market openness. From trade policies and foreign direct investment regulations to business climate and regional integration efforts, understanding Tunisia's approach to market liberalization is essential for assessing its long-term potential.

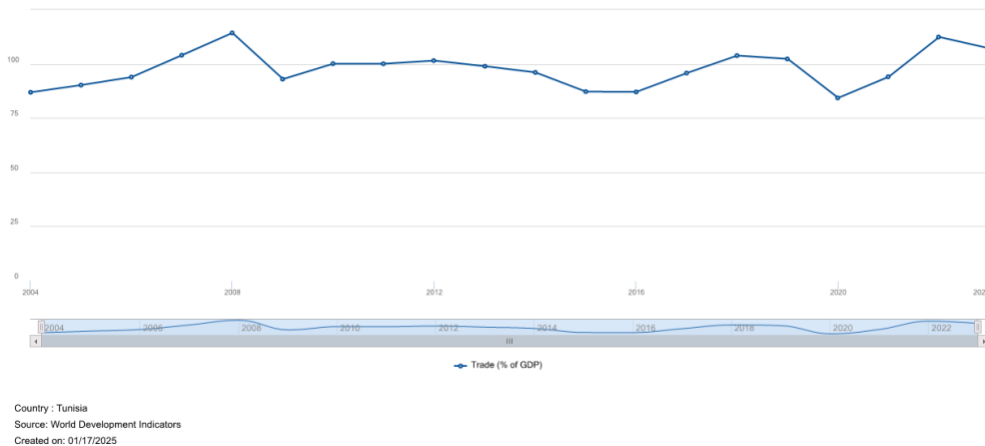


Figure 1: Tunisia Trade to GDP ratio 2004-2025

The figure above displays the trade to GDP ratio for Tunisia. Over the past years, we have seen a relative increase in the Tunisia's market openness but a major hike in openness from 2020 onwards. This occurs mainly due to the post-pandemic recovery after COVID-19. With the economy functioning again, trade improved in the country as Tunisia's key export sectors, including textiles, electronics, and agri-food products, likely experienced increased demand from European and international markets as economic activity resumed worldwide.

This is because the major five companies in the country are from these sectors.

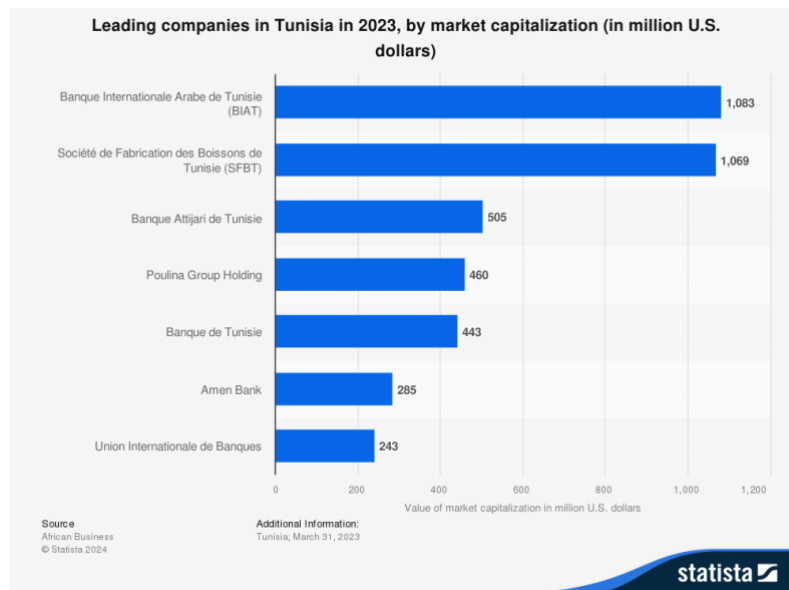


Figure 2: Tunisia's five largest companies by market capitalization in 2023.

The largest company in Tunisia is the Banque Internationale Arabe de Tunisie, which is the largest private bank in the country. European and Arab banks together hold about 28% of BIAT's

shares, Tunisian institutions almost 26%, and private investors, which are undisclosed, hold the remainder. The main industry thus is financial sector, and the other one is agribusiness, beverages, and animal nutrition production along with ceramic tiles production with companies such as SFBT and Poulina Group Holding. Both are MNCS, SFBT's parent company is Castel group which is the largest wine producer in France. Poulina Group's owners are Founders Capital Partners, which is a group of angel investors based in California. Looking at CIA factbook, we can see that the top industries in Tunisia include textiles, footwear, agribusiness, beverages, hence, it makes sense that these companies are the largest. The factbook also mentions that agriculture accounts for 9.5% of the GDP and industry, and services component account for 23.5% and 62.1% each, which makes sense as financial institutions make a large portion of the top companies in Tunisia.

Another key to investigating Tunisia's market is to observe the trends in the currency and the exchange rate. The IMF labels it as a crawling peg currency. According to the IMF, a crawling peg currency is a system where a country's exchange rate is fixed to another currency or a basket of currencies, but the peg is adjusted gradually over time in small increments, allowing for a controlled depreciation or appreciation of the domestic currency relative to the pegged currency. The crawl rate can be set at a preannounced fixed rate below the anticipated inflation differentials, or it can be programmed to provide inflation-adjusted movements in the exchange rate. Maintaining a crawling peg, like a fixed peg, imposes restrictions on monetary policy.

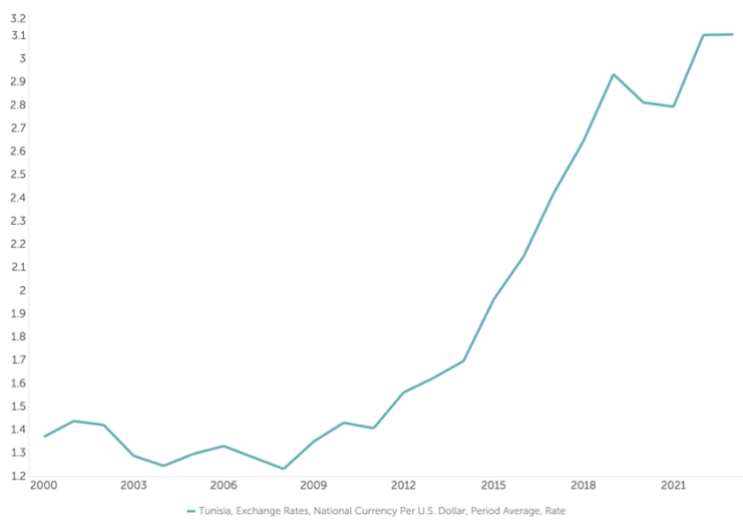


Figure 3: Tunisia's exchange rate per U.S. Dollar, 2000-2021

We see the Tunisian Dinar depreciating compared to the US Dollar between the years 2015-2018, where in 2015 the Dinar was 1.96 and in 2018 reached 2.65. Within the past 13 years (2012-2025), the currency has overall depreciated. There were some instances of appreciation in 2019-2020 where the Dinar changed from 2.93 to 2.8. Between 2015-2018, several terrorism jihadist attacks took place in Tunisia which caused a lot of political polarization and hence it makes sense

the value depreciated. This creates a negative effect on trade because of the lack of willingness of customers to invest; hence, worsening Tunisia's economic conditions due to its internal conflicts.

Trade prospects

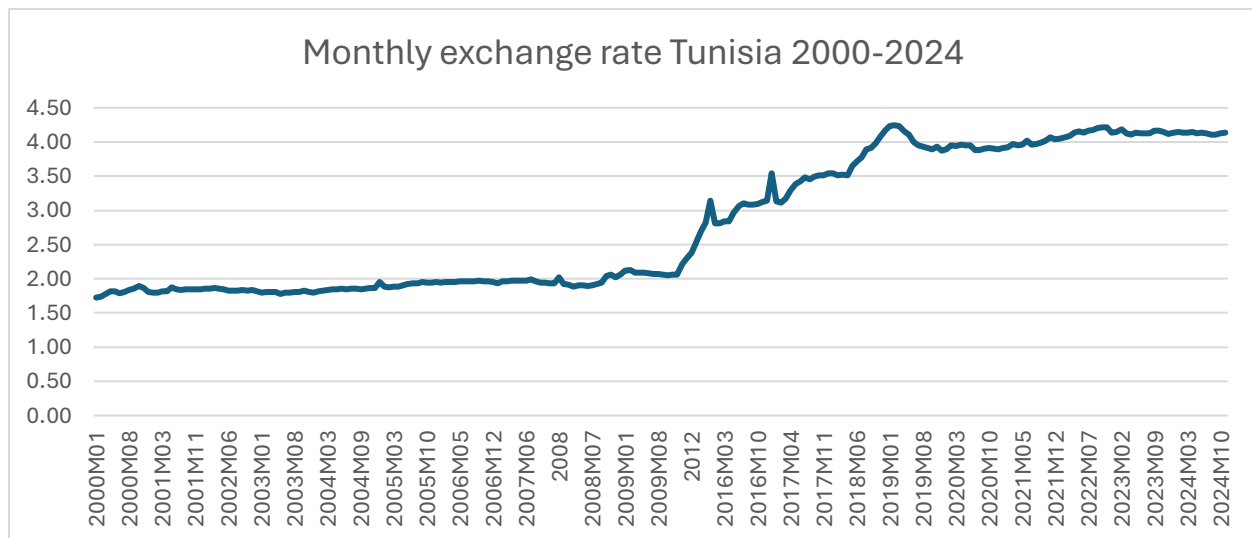


Figure 4: monthly exchange rate relative to US Dollar, 2000-2024 (International Monetary Fund)

Figure 4 displays monthly exchange rates of change for Tunisia relative to the US Dollar over the years 2000-2024. We can see that in the initial years from 2000-2010, the exchange rate is quite stable, and the Tunisian Dinar isn't really appreciating or depreciating as much. This can be because the economic policies of the 2000s created the circumstances for the economy to function better, develop its structure, become more competitive, and allowed for more openness. These regulations improved service providers by emphasizing hotel unit reorganization, skill development, and enabling access to new technologies. Tunisia had welcomed foreign direct investment (FDI). (Ayadi et.al, 2) This can be seen with the stable currency as well. The high period of depreciation happened specifically due to the Arab Spring and revolts which increased corruption, unemployment, and lowered economic productivity. The value of the currency has been falling since. Between 2008 and 2018, the dinar went from 1.9 to 3.51, a depreciation of 84%. High corruption and high unemployment along with COVID-19 further worsened Tunisia's currency and the dinar has been losing its value.

We also see in 2019, there is another spike of the Tunisian Dinar depreciating further to a level of 4.23 Dinar per USD. This occurred due to the negative aftereffects of the Arab Spring revolution which worsened employment and increased oil prices, a major export good for Tunisia, decreasing ; however, a major factor that was noted was due to the worsening of Tunisia's trade

deficit. (Di Rosa 2019) A trade deficit occurs when the imports of a country exceed its exports. Between 2017-2019, Tunisia rapidly increased its imports and thus reduced the demand for the Dinar in the foreign exchange market as it decreased exports, which further weakened its currency.

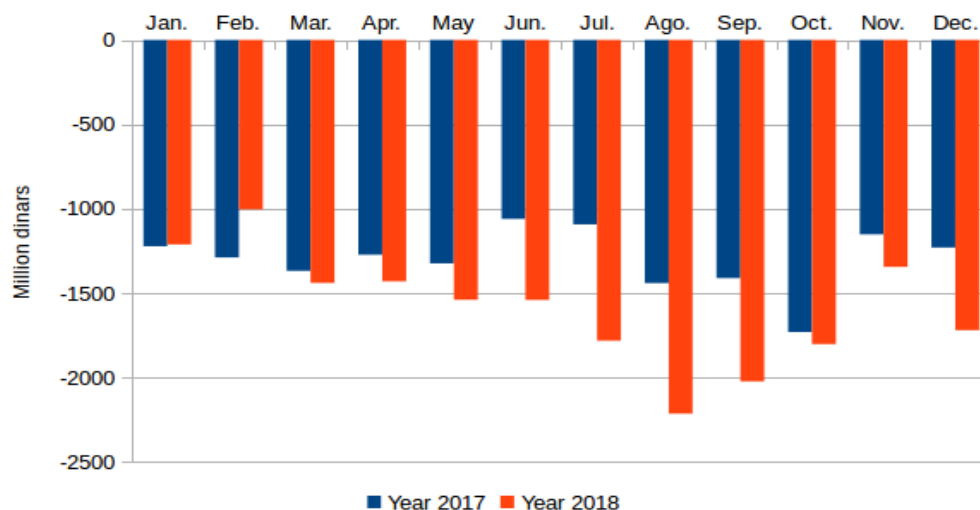


Figure 5: Tunisia's trade balance data

Figure 2 displays the increase in the trade deficit from 2017-2018. We see that every month, the trade deficit in 2018 was higher compared to that in 2017 indicating a worsening effect for the Dinar. The Central Bank of Tunisia (BCT) is also not intervening firmly to hold back the weakening of the currency: in the face of a depreciation close to 30% against the dollar in 2018 (Di Rosa, 2019). This creates a problem for the country as letting the currency depreciate further means the purchasing power of the Dinar would worsen meaning import costs can rise, which means exporters can be discouraged if the trend were to continue. Although in recent years more controls have been taken to prevent Dinar depreciation, external factors have worsened Tunisia's economic state. Agriculture was hit hard due to bad rains. For aggregate demand, household consumption declined due to the rise in prices and the fall in incomes, and investment continued to decline—reaching a historically low level—due to the deterioration in the business climate and risks connected to macro-instability.

As per the IMF data query, in 2022, the Tunisian Dinar's de jure exchange rate arrangement is floating, as indicated by the BCT. A de jure rate means one which is officially declared by the government. The Central Bank intervened in the foreign exchange market to reduce erratic fluctuations in the exchange rate on the market. The BCT ceased interventions outside the auction mechanism and calls for tender became the sole intervention method. The de facto exchange rate arrangement however was classified as a crawl-like arrangement. This means that the type of exchange rate regime being followed is the crawl-like one even though the

government recognizes its currency as floating. This makes sense as the BCT intervenes to adjust the exchange rate periodically, often in small increments, to manage inflation or external competitiveness indicating that it is not fully ready to let market forces drive the value of the currency entirely through a floating exchange rate mechanism.

The BCT's reference exchange rate is based on the results of foreign exchange auctions to allow for price discovery. The BCT's reference exchange rates are used for transactions between the BCT and the government. This indicates that the forward exchange rates in Tunisia are likely tied to the BCT's reference exchange rate, which is derived through foreign exchange auctions. Due to the mixed exchange rate system, mainly market forces decide the exchange rate value; however, due to the crawl-like stature of the currency, some government controls may make it hard to predict the value of the currency. Although the de facto rate is crawl-like, meaning there are gradual changes so less volatility, there could still be fewer extreme premiums or discounts to account for depreciation. The government, relying on the BCT's reference rates for its foreign exchange dealings, may also use forward contracts for predictable future payments and exporters and importers and investors can hedge the risks by locking in forward exchange contracts.

Interest rates and trade differentials

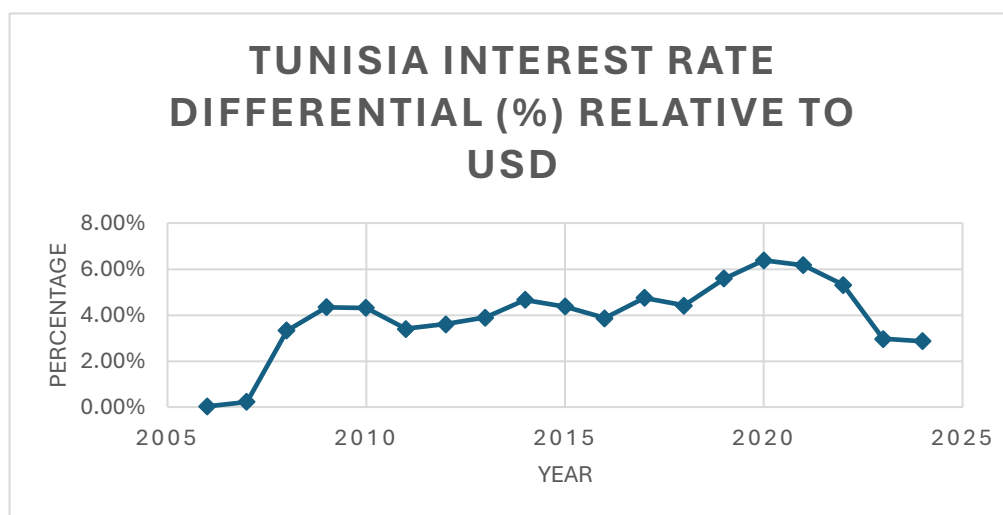


Figure 6: Tunisia Interest rate differential (%) relative to USD

Upon Looking at Tunisia's interest rates per year from the year 2006-2024 from the figure above, we see a massive fluctuation between the interest rate differentials from the year 2007-2008. This can be explained due to the financial crisis that the United States experienced with the housing bubble collapse. The Federal Fund rates in the United States affect interest rates on loans, savings accounts, and other financial product. To encourage economic activity after the crisis, the Federal Reserve decided to take their rate to nearly 0 at 1.92% in 2008 and 0.16% in 2009. This created a big gap in the interest rate values between Tunisia and the U.S. as seen causing the percentage difference between them to increase rapidly. Tunisia however was withstanding economic pressures quite well. "On the demand side, vigorous exports and investment powered the growth acceleration." (Tahary, 4) Tunisia was also increasing rising inflationary pressures due to the increase in fuel and food prices; however, it was also growing liquidity in the banking system reflecting increasing foreign direct investment (FDI) helping keep its interest rates stable. We see through the years the differential remained relatively stable between both the countries but again there is a large drop from 2021-2022. This was significantly because Tunisian population had high household indebtedness (about 30% of GDP) which "will exacerbate the vulnerabilities of the banking sector. Disposable income is low in Tunisia, with 40% to 60% of households' earnings consumed by debt repayment." (Fitch Wire) The United States had kept it near 0 benefiting borrowers. Tunisian currency was depreciating which had caused the government to step in to raise interest rates further.

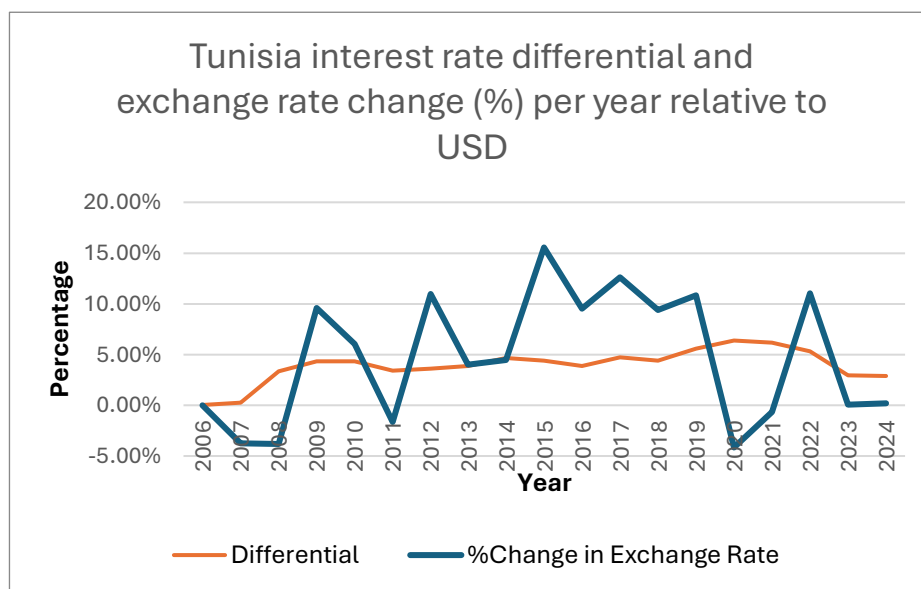


Figure 7: Tunisian interest rate differentials and % change in exchange rate

Looking at the figure, we see that when the interest rate differential falls, Tunisia's currency tends to depreciate. For instance, looking at the period between 2014-16, we see a fall in the interest rate differential, but we see a major rise in the percentage change in the exchange rate indicating that the currency has depreciated relative to the USD. As we see in 2014, the

Dinar/USD rate is 1.70 and in 2015 it is 1.96. This trend also makes sense because when the interest rate differential falls, a currency tends to depreciate, as a lower interest rate differential makes a country's currency less attractive to foreign investors, leading to decreased demand and a weaker currency value. When the differential decreases, the gap between the two countries narrows down so there is less incentive for investors to hold the currency with the lower interest rate for longer. However, we see in the recent years that the interest rate differential, especially between 2021-22, seems to rise while the currency seems to depreciate. This can be explained since although higher interest rate values in Tunisia seem to attract investors it puts inflationary pressures on the economy due to a higher demand for the dinar, causing the government to intercept and control the interest rates. Additionally, with rising inflation “driven by the rise in food prices” (Diwan) the value of the Tunisian dinar tends to be weakening causing rates to rise higher than before to keep it under control. Tunisia, historically, prioritized inflation control but in the recent years especially due to external events and its high deficit, the country has been facing challenges in controlling the rate.

Thus, if carry trade strategies are profitable and the UIP condition fails, you would expect to go long on the Tunisian dinar as we see that the dinar is having higher interest rates than the USD meaning we short the USD and go long on the TND as that way investors could borrow in USD (at a low rate) and invest in TND (at a higher rate) to earn the interest rate spread and profit. The UIP condition says that the expected change in the exchange rate between two countries is equal to the interest rate differential between them. This would mean that the currency with a higher interest rate would depreciate more to offset the higher returns from investing in that currency, in this case the dinar. So, if UIP fails, we expect that the TND will not depreciate by as much and would be relatively stable or even appreciate. A point to note would be though is that external factors such as rising inflation, and government control is also affecting the country's economy, which means that interest rates would further rise to prevent depreciation. Taking this into account with the assumption that UIP fails, I would choose to go long on the TND due to its higher interest rate meaning there is a higher chance of capitalizing on the interest rate differential between the USD and the TND.

Market accessibility

It seems that Tunisia has taken some efforts to make its market more accessible and open to foreign investors: however, it still faces a lot of major issues hindering its potential. Tunisia has no issues in its level of foreign room level and foreign ownership limit (FOL) meaning that there isn't really any restrictions on the percentage of a company's shares that can be owned by foreign investors, indicating that the market in Tunisia has several qualities to attract foreign investors. However, one issue that investors face directly is that the company and stock related information is not always readily available in English, making it hard to invest without knowing well about

companies. Additionally, Tunisia doesn't have an offshore currency market. This is quite problematic because this market allows for the trading of a country's currency outside of its borders. This means trading happens without enforced regulations of the central banks. This makes it easier for traders to enter and encourages trade as it increases the acceptance and recognition of the currency. Since Tunisia doesn't have an offshore currency market, it makes it harder to hedge against currency risks, potentially impacting economic stability and hindering its ability to attract foreign capital. Tunisia's market practices are also unusual and not in line with other standard investment practices creating further hindrances.

Looking at the resources, it is clear to say Tunisia does not cross-list in the NASDAQ or the NYSE, in fact it does not cross-list in any foreign exchange market. There are several reasons for this. As noticed based on Tunisia's openness study, Tunisia does not have an offshore currency market, hence it is a non-convertible currency, which makes it hard for investors to engage with Tunisian firms. Additionally, the Tunis Stock Exchange (BVMT), only consists of 80 firms and many firms are not large enough to even meet the international liquidity requirements to be listed. They also are unable to afford the listing fees and the costs to enter foreign markets like the NASDAQ or NYSE. Tunisian firms only serve regional customers and don't necessarily have an international presence which could justify them cross-listing. Another barrier for Tunisian companies is their investment practices, which are not standard with other major stock exchanges and markets, creating a major barrier. For instance, in terms of clearing and settling contracts in Tunisia, there is no nominee status so investors must register securities in their own names, rather than through an intermediary. Furthermore, omnibus structures, which allow multiple clients' assets to be pooled under a single account, managed by a financial institution, are not allowed so each investor must hold a separate account, making the market less flexible and more complex. During cash shortages, only short-term overdrafts are permitted which are not common practice at all. These factors all add up and can explain why Tunisian companies are not cross listed. Many Tunisian firms are usually foreign owned especially by France based investors. Thus, instead of cross-listing, firms often seek foreign direct investments (FDI) or private equity-based funding to expand their reach. However, the lack of domestic ownership in the largest firms in Tunisia also indicate that there is no profit in cross listing these firms.

From the MSCI index report for Tunisia, since 2011, the country has performed generally worse than countries in the same group as it. As seen from the MSCI values for Tunisia and that of the frontier markets, Tunisia for the most part had lower return rates for its stock market compared to other emerging countries. In 2012, it was -4.83% versus 9.25% for frontier markets. The initial lag can be explained due to the Arab Spring and the revolts, which disrupted the economy of Tunisia. Increased inflations, large unemployment rate, and weak economic performance indicates that the Tunisian stock market was not performing well compared to other developing markets. However, in 2018 we see that the MSCI for Tunisia reaches a high of 13.62% compared to -16.20% of frontier markets. This is because in 2018, the Tunisian financial market was marked by extended efforts to reinforce the official listing of the Tunis Stock Exchange, through

the introduction of a new company on the main stock market, giving rise to an additional capitalization of 62 million dinars. Thus, the number of listed companies reached 82 at the end of 2018. This rise in listings increased capital for the country which caused capital flows to increase and thus increase stock market transactions in Tunisia. Major constituents like Société de Fabrication des Boissons de Tunisie (SFBT) and Banque Internationale Arabe de Tunisie (BIAT) on the equity market made up 63.4% of the total, up from 56.2% at the end of 2016. This displays the large level of concentrated power the top firms have as revenue increases in these firms boost the stock market significantly. However, this growth was only short-term as in the end of 2018 and by 2019, due to weak performances in the banking sector, Tunisia was unable to sustain its capital gains causing its return % to decrease to 9.14 compared to the other markets' value of 18.34.

Using turnover rate and standard deviation data, we see that Tunisia's turnover rate is 13.49% compared to the other benchmark values of 6.80%. Tunisia's standard deviation, measuring risk of investment is also generally lower than other frontier markets and even the developed markets, being about 13.81 for 3-yr, 13.87 for 5-yr and 14.97 for 10-yr compared to values of 12.92, 16.44, and 13.97. This implies that there is higher liquidity in Tunisia's stock market, meaning stocks can be easily bought and sold without majorly impacting prices. This would likely be a true implication due to the high concentration of top few firms in terms of market share. Stocks of these companies could be easily bought and sold without majorly affecting their prices. Thus, the lower risk as usually a higher turnover rate would indicate a higher volatility rate as stocks with high turnover rates are often pursued by short-term funds, resulting in greater price volatility but also higher risk. However, seeing earlier Tunisia's high turnover may be driven by a small number of frequently traded stocks, rather than broad-based speculative activity. Additionally, while Tunisia's volatility is lower than some developed markets and other frontier markets, its trading costs are likely still higher due to factors like smaller market size, less efficient infrastructure, and higher transaction fees. As we see that the Tunisian stock market isn't attractive despite the high rates of return and low risks due the lack of access of information in English for foreign investors and due to the country not having an offshore currency market, making it harder for investors to hedge against the risks using forward-contracts.

Looking at the annualized returns between Tunisia and USA, we see that the overall correlation between the two countries comes to be -0.468111154. This indicates that there a low and inverse correlation between the two countries which is usually the case with emerging countries. This tells us that diversifying the portfolio to Tunisia would help to increase returns especially when the US market drop and economic performance weakens in the USA, which would allow even higher returns from Tunisian stocks. However, comparing Sharpe ratio values, we see that for all the time periods US has an overall greater Sharpe ratio but accounting for the correlation between the two markets, Tunisian Sharpe Ratio is greater than the product of the market correlation and the US Sharpe ratio value indicating that it is better to invest in Tunisia to diversify. However, other factors such as market liquidity, volatility rates and economic

conditions of a country like the inflation rate and factors such as currency risk is important to note as investors want to be able to easily enter and exit markets and know whether they can hedge their risks and even if the industries in the country they are investing in are growing or not. If the dinar is expected to depreciate significantly against the US dollar, it could erode investment returns without hedging options available like forward contracts.

Deposit money bank assets

The strength and stability of its banking sector is a critical factor in assessing Tunisia's market environment, as reflected in deposit money bank assets. These assets serve as a key indicator of financial sector development, influencing economic growth, investment potential, and business confidence. The three main banks in Tunisia are:

Société Tunisienne de Banque (STB):

The STB started its activities on 26 March 1958, and it is the first specifically Tunisian banking institution established to effectively contribute to the economic and social development of the young independent state in a context of disinvestment, disruption of the credit market and a real flowing of capital to foreign countries. This bank is a state-controlled bank in Tunisia. It is listed in the Bourse de Tunis, the Tunisian stock exchange.

Banque Nationale Agricole (BNA):

The BNA was created in 1959 and has been at the forefront of the economic and financial scene. They are also a state-owned bank in Tunisia. This means they are majority owned by the Tunisian government as they are listed on the Tunisian stock exchange as well.

Banque de l'Habitat (BH):

BH Bank is owned by the Tunisian state with 56.7% of its capital. It chooses its strategy and level of risk tolerance and directly owns 42% of BHL and indirectly controls 75% of the company overall through BH Bank Group. It was founded in 1973 and has 90 million dinars in assets, mostly in real estate.

These three banks make up about 40% of total banking assets in the country, they are structurally important for the economy. As the biggest banks in Tunisia are state-owned, this means that there are lesser risks of bank failures during economic downturns. This is because during critical times, the government and the Central Bank of Tunisia can intervene to support the economy when needed. However, this also means that since the banks are state-owned, they lack competitiveness, leading to inefficiencies and slow decisions. This has primarily been the case in Tunisia. According to a World Bank report, it is estimated that around 30% to 40% of the adult population, and more than half the enterprises in Tunisia remained unserved or underserved by the mainstream financial sector. The Government of Tunisia (GOT) is also heavily dependent on bank financing to fund its economic activities, which is limiting economic growth and job creation. This also limits the equity capitalization. If equity capitalization is small, it means that

there are fewer companies in Tunisia able to raise funds by selling shares to investors. Businesses and the government may find it difficult to finance innovations, infrastructure upgrades, and growth-oriented projects if they have too much debt. The economy's reliance on borrowed money can impede the creation of longer-term, more sustainable economic plans, which would slow down growth in general. Furthermore, if growth slows down and projects slow down, the creation of new jobs is also minimal as innovation is limited. This in turn worsens the economy and creates a higher burden on the country. As the banks are state-controlled, they have less freedom to set rates and operate. In Tunisia, government regulations control lending rates. This makes it hard for banks to set appropriate loan prices. As a result, banks are less willing to lend. While competition among banks lowers interest rates, since banks are state-controlled the lack of competition has banks add extra conditions to loans that make them more expensive for borrowers than just the interest rates would suggest. These come in the form of collateral and is often hard to manage.

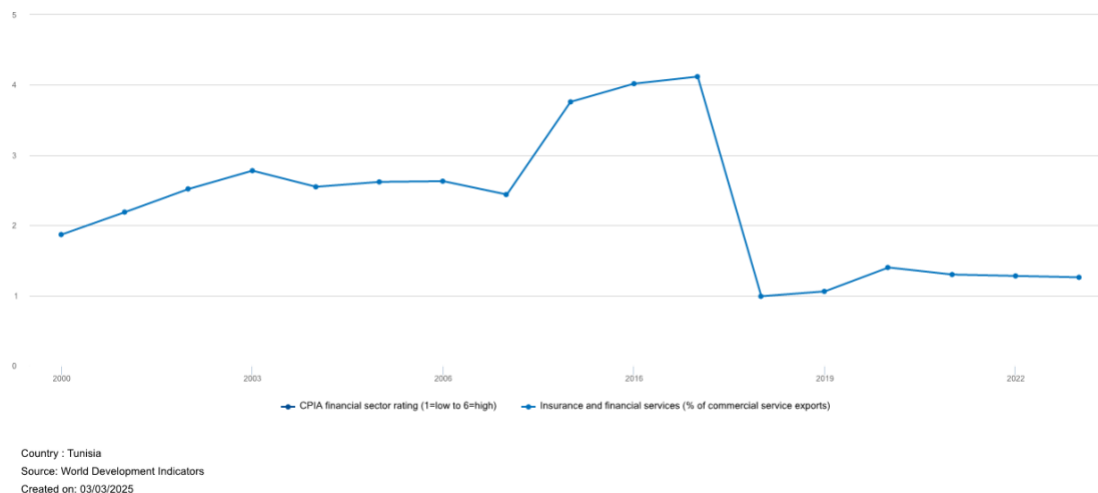


Figure 8: Tunisian interest rate differentials and % change in exchange rate

From the figure above, we see that there has been a rise overtime in deposit money banking assets. This tells us that the financial sector has been growing in Tunisia and indicates increased lending and financial services availability, boosting private sector growth. We see a massive spike from 2008 to 2010 in the deposits. This can be explained by firstly the fall in Inflation from an average of 5 percent in 2008 to 3½ percent in 2009 due to the fall in food and petroleum prices. This helped reduce costs for consumers and increased their consumption allowing an increased cash flow. The central bank of Tunisia also loosened its monetary policy in 2009. Increased consumption and cash flows helped give rise to the financial sector in Tunisia as they were more in use when handing out loans as their required reserve ratio in 2009 had dropped allowing banks to lend more.

We also see from figure 8 that the Insurance and Financial Services (% of Commercial Service Exports) went through a major rise between from 2010 to 2015. This indicator shows how much of a Tunisia's service exports come from insurance and financial services. The major rise in insurance and financial services show that in recent years Tunisia's financial sector has gained more importance. Tunisia's financial sector managed to remain robust despite the global financial crisis due to the financial sector's major reliance on local banks and strict monetary policy and lending requirements set by the central bank. Banks benefited from healthy deposit growth and limited exposure to the most affected export sectors. These reforms laid the groundwork for increased integration into international financial markets, boosting exports in these services. Additionally, with the adoption of modern technology and embracing digitalization. Tunisia's location attracted lots of investors from MENA and Europe regions helping bolster the financial sector. Tunisia engagement in trade agreements and efforts towards regional integration bolstered the cross-border provision of financial services. These agreements opened new markets for Tunisian financial firms, allowing them to export services more freely and expand their international reach.

We see, however, in figure 8, the major dip in exports of insurance and financial services from 2018 and after. World Bank reports that there is a low level of competition in the financial sector in Tunisia and this appears due to the existence of an environment characterized by weak regulatory practices and substantial failures in the corporate governance of state-owned banks. Tunisia's return on equity on average over the past couple years have been around 10% which is much lower than its competitor countries. The quality of projects financed have been low and not chosen with robust profitability for the banks. The weak performance of the loan portfolio reflects corporate governance failures that result in the inability of banks to select good performing investment projects.

Investment risks

The Tunisian market has gotten riskier over time but in the recent years has dropped. There have been major fluctuations within the market. As most banks are state-owned, several inefficiencies arise within the country leading to poorly managed structures and several hinderances in the country.

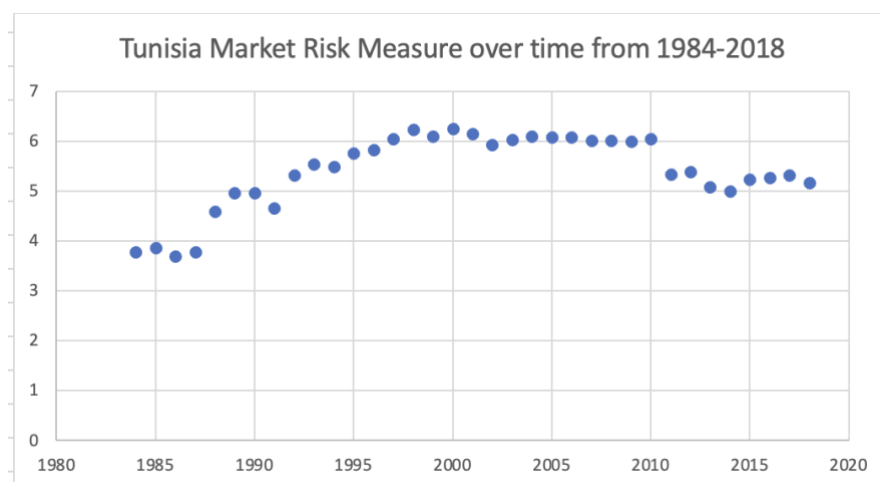


Figure 9: Tunisian interest rate differentials and % change in exchange rate

As seen above, we see a big spike in risk during the early 2000s period. Some reasons for this is that in early 2000s like 2002, the dotcom bubble had burst, which had led to diversions in investments from investors. As the U.S. market had collapsed, the world markets also took a small toll due to increased risk aversion among investors. Tunisia's economy is also heavily dependent on European markets, particularly France and Italy. Economic downturns in these key trade partners such as the early 2000s economic struggles in the Eurozone also led to reduced investments in the country. However, in recent years due to economic reforms, the market has gotten less risky due to increased investments and Tunisian Central Bank's open monetary policy to encourage investments.

Looking at the 2020 Doing Business report, Tunisia ranked 78th in the Ease of Doing Business index with a DB score of 68.7, placing it in the upper-middle range globally. This indicates that the country has a moderate business environment that is competitive but still has regulatory challenges. In terms of starting a business, Tunisia's score is 94.6, which tells us that its quite simple. It only requires 3 steps which is very low and takes 9 days to start a business in the country. The country also has no minimum capital requirement, a major advantage to encourage businesses to operate as it reduces barriers to entry. However, Tunisia's legal procedures and financial help is what brings the country down. To register property, it takes around 35 days, which is longer than the regional average of 26.6 days. The country also had weak property right systems with a score of 13.5/30. This indicates that property registration is costly and time-consuming which increases delays and business setup costs. Similarly, in terms of paying taxes, companies are required to pay 60.7% of profit, a big deterrent for businesses. The heavy tax burdens and compliance costs reduce Tunisia's attractiveness. Tunisia runs large fiscal deficits, leading to high public debt, which is currently 80% of the GDP. To finance public services and subsidies, the government relies on high tax rates which are increased, and the burden falls on corporate and payroll taxes. The country also has large amounts of corruption and a massive

shadow economy, presumably at 35-40% of the GDP value, hence formal and legal businesses face a high tax rate to compensate for this disproportion.

Score changes 2012 - 2024

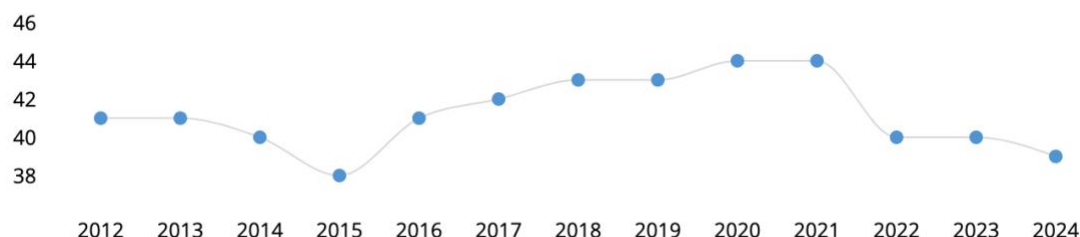


Figure 9: Tunisia CPI score 2012-2024

Tunisia's CPI score is 44/100. A score of 100 means no corruption and a score of 0 means extremely corrupt. Tunisia scores weakly and we see between 2021 to 2022, there has been a big drop in the rating, indicating increased corruption. Reports from the U.S. Government indicate that there were numerous reports of government corruption during the year, particularly of police seeking bribes from citizens. Additionally, the National Authority for the Fight Against Corruption, which led anticorruption efforts in the country since 2011, was closed in 2022. In the recent years, Tunisian president issued a decree offering amnesty in corruption cases, allowing those accused of corruption to avoid prosecution and imprisonment by providing money for state projects. The constitution was also revised in 2022 and indicated no mentions of corruption unlike the previous one in 2014. A high sense of authoritarian policies and lack of public provision has led the country to face high corruptions. With recent protests in the country, the economy has also taken a toll and indicated weaker performances. However, with the right reforms and the existing incentives, Tunisia has the potential to become a thriving market in the Middle East and North Africa region.

Conclusion

Tunisia's market landscape presents a dynamic mix of opportunities and challenges, shaped by its evolving economic policies, trade openness, and financial sector strength. The country's strategic location, trade agreements, and emerging industries position it as a competitive player in North Africa. However, factors such as regulatory complexities, inflation, and financial sector resilience remain critical considerations for investors and businesses. Investing in Tunisia presents a mix of opportunities and risks, making it a potentially attractive but cautious bet for investors with a long-term perspective and a moderate to high-risk tolerance. The country's strategic geographic location, well-educated workforce, and ongoing economic reforms, particularly in sectors like renewable energy, technology, and manufacturing, offer promising

avenues for Foreign Direct Investment (FDI). Additionally, the Tunisian Stock Exchange provides opportunities in undervalued equities, especially in banking, telecommunications, and consumer goods, though liquidity and political sensitivity remain concerns. Government bonds, while offering relatively high yields, come with risks tied to Tunisia's high public debt and fiscal deficits, despite support from international institutions like the IMF. The Tunisian dinar, though historically undervalued, carries speculative currency trade potential but is vulnerable to devaluation risks due to trade imbalances and low foreign reserves. Real estate, particularly in coastal tourist areas, and renewable energy projects also hold promise, supported by government initiatives and global sustainability trends, though regulatory and bureaucratic challenges could hinder progress. However, investors must remain mindful of Tunisia's political instability, slow structural reforms, and reliance on external factors like EU demand and global commodity prices. A diversified investment strategy—focusing on FDI, selective equities, and government bonds, while cautiously exploring currency and real estate—could mitigate risks and capitalize on Tunisia's growth potential. Ultimately, thorough due diligence, consultation with local experts, and close monitoring of political and economic developments are essential for successful investment in Tunisia.

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